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Entrepreneurship Development

BOE084

One-day revision notes: definitions, solved examples, code and important questions

Program: B.Tech | **Branches:** ALL | **Semester:** 8 | **Credits:** 3 | **L-T-P:** 3-0-0

Scheme: AKTU B.Tech 4th year, Open Elective-III, 2025-26 onwards

UNIT 1 Entrepreneurship and Small Scale Industries

UNIT 2 Project Identification, Formulation and Appraisal

UNIT 3 Accountancy and Management of a Small Enterprise

UNIT 4 Project Planning and Control

UNIT 5 Laws and Support Institutions for Entrepreneurs

Original revision notes written for the AKTU syllabus. Every unit has the same parts:

1. **2-mark definitions**: short answers you can write word for word in Section A.
2. **Core concepts**: theory, steps and comparison tables.
3. **Solved examples**: the numericals examiners set (NPV, IRR, payback, benefit-cost ratio, break-even, balance sheet, ratios, EOQ, cost of capital, cash budget).
4. **Key points to remember**.
5. **Important questions**: the long questions to prepare, with what your answer must contain.

How to use these notes the day before the paper

- **Morning (3 hours):** Unit 1 (entrepreneur, small industries, policy, steps to start) and Unit 2 (project identification, feasibility, DCF, NPV, IRR).
- **Afternoon (3 hours):** Unit 3 (balance sheet, costing, quality, marketing, inventory) and Unit 4 (cost of capital, risk, capital budgeting, cash flow).
- **Evening (2 hours):** Unit 5 (laws, tax, support agencies), then the "Last-hour checklist".
- **In the exam:** write definitions crisply, use tables for comparisons, and set numericals out with formula → substitution → answer with ₹ units.

AKTU paper pattern (theory, 70 marks, 3 hours): Section A has 7 short questions of 2 marks, all compulsory (14). Section B has 5 questions of 7 marks, attempt any 3 (21). Section C has 5 questions (one per unit), each with two parts, attempt one part of each, 7 marks each (35). Every unit gets its own Section C question, so do not skip any unit.

UNIT 1 Entrepreneurship and Small Scale Industries

✍️ 2-mark definitions

- **Entrepreneur:** a person who sees an opportunity, organizes resources (money, people, materials) and bears the risk of starting and running a new business for profit and growth.
- **Entrepreneurship:** the process of creating a new venture by identifying opportunities, innovating, taking calculated risks and building an organization.
- **Intrapreneur:** an employee who behaves like an entrepreneur inside an existing company, developing new products or businesses.
- **Small scale industry (SSI):** historically, an industrial unit with investment in plant and machinery up to a set ceiling (₹1 crore before 2006); now covered by the MSME (Micro, Small and Medium Enterprises) definition.
- **MSME (revised, effective 1 April 2025):** classified by investment in plant/machinery or equipment **and** annual turnover: **micro** ≤ ₹2.5 crore and ≤ ₹10 crore; **small** ≤ ₹25 crore and ≤ ₹100 crore; **medium** ≤ ₹125 crore and ≤ ₹500 crore (the 2020 limits were ₹1/5, ₹10/50 and ₹50/250 crore).
- **Ancillary unit:** a small unit that supplies parts, components, sub-assemblies or services to a larger "parent" unit.
- **Tiny/micro enterprise:** the smallest category of enterprise, often household or village based.
- **Udyam registration:** the free online registration of MSMEs (since July 2020) that gives a unique Udyam number and access to schemes.
- **Startup (DPIIT):** an entity up to 10 years old, with turnover not above ₹100 crore in any year, working on innovation or a scalable model, recognized under Startup India.
- **Innovation:** turning an idea into a new or improved product, process or service that creates value.

💡 Core concepts

Characteristics of a successful entrepreneur: need for achievement, risk-taking (moderate, calculated), innovation and creativity, self-confidence, initiative, leadership, decision making, persistence, opportunity seeking, planning and goal setting, flexibility, integrity.

Functions of an entrepreneur: idea generation, opportunity assessment, resource mobilization (finance, land, labour, technology), organizing and managing, risk bearing, innovation, decision making, marketing, ensuring growth.

Types of entrepreneurs: by function (innovative, imitative/adoptive, Fabian — cautious, drone — resists change); by ownership (private, state, joint); by size (micro, small, medium, large); by field (business, trading, industrial, agricultural, service, social); others (technopreneur, woman entrepreneur, rural entrepreneur, serial entrepreneur).

Entrepreneur vs manager

Feature	Entrepreneur	Manager
Motive	Start a venture, growth	Run an existing organization
Risk	Bears the risk	No ownership risk
Reward	Profit (uncertain)	Salary (fixed)
Innovation	Central	Executes others' plans
Status	Owner	Employee

Role of small scale industries in India

- Large employment with low capital (second largest employer after agriculture; more than 6 crore enterprises).
- About 30% of GDP and about 45% of exports.
- Balanced regional development and rural industrialization; reduce migration.
- Equitable distribution of income; mobilize local savings and skills.
- Support large industries as ancillaries; produce consumer goods.
- Nursery of entrepreneurs; promote innovation and exports.

Growth and problems of SSIs: finance shortage and high interest; raw material shortage; outdated technology; marketing difficulties; delayed payments by large buyers; poor infrastructure (power); competition from large firms and imports; lack of skilled labour; complex regulations; sickness (units becoming non-viable).

Types of small industries: manufacturing, ancillary, service (repair, IT, logistics), export-oriented, village and khadi industries, cottage industries, women's enterprises, tiny units.

Government policy for small industries (milestones)

- Industrial Policy Resolutions 1948 and 1956 (reservation and support for small industry).
- 1977 policy: District Industries Centres (DICs) set up (1978).
- 1991 policy: liberalization; investment limits raised; factoring services; reduced reservation.
- MSMED Act 2006 (defines micro, small, medium; delayed payment protection within 45 days).
- 2020 revised MSME definition with turnover + investment; Udyam registration; 2025 revision of limits.
- Schemes: PMEGP, CGTMSE (collateral-free credit guarantee), MUDRA loans (Shishu, Kishore, Tarun, Tarun Plus), Stand-Up India (SC/ST and women), Startup India (tax holiday, self-certification, fund of funds), Make in India, ZED certification, Public Procurement Policy (25% purchase from MSEs).

Steps to start a small industry

1. Self-assessment and decision to be an entrepreneur.
2. Identify a business idea/product (market survey, skills).
3. Prepare a feasibility and **project report** (market, technical, financial).
4. Choose the form of ownership (proprietorship, partnership, LLP, private limited company).
5. Select location and land/building.
6. Arrange finance (own funds, bank loan, MUDRA, SIDBI, State Financial Corporation).
7. Registrations and licences: Udyam, GST, shop/factory licence, pollution consent, trade licence, fire NOC.

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8. Buy machinery and set up the plant; arrange power and water.
9. Recruit and train staff; arrange raw materials.
10. Trial production, quality checks, marketing and launch.

🧮 Solved examples

Example 1: Classify an enterprise (2025 limits). Investment ₹8 crore, turnover ₹60 crore. Micro needs ≤ ₹2.5 crore investment → no. Small needs ≤ ₹25 crore and ≤ ₹100 crore → **small enterprise**. If turnover were ₹120 crore, it would be **medium**, since both conditions must hold for the lower class.

Example 2: MUDRA category. A tailor needs ₹4 lakh. Shishu covers up to ₹50,000, Kishore ₹50,000 to ₹5 lakh, Tarun ₹5 lakh to ₹10 lakh (Tarun Plus up to ₹20 lakh for those who repaid Tarun). So **Kishore**.

Key points to remember

- Entrepreneur = opportunity + resources + risk + innovation.
- MSME 2025 limits: micro 2.5/10, small 25/100, medium 125/500 (₹ crore, investment/turnover).
- SSI role: employment, exports, regional balance; problems: finance, technology, marketing, delayed payments.
- Steps: idea → project report → ownership → location → finance → registrations → plant → staff → launch.

⭐ Important questions

1. Define entrepreneur and entrepreneurship. Explain the qualities and functions of an entrepreneur.
2. Explain the role of small scale industries in the Indian economy, their growth and problems.
3. What are ancillary industries? Explain the types of small industries.
4. Explain government policy and schemes for small industries.
5. Explain the steps to start a small scale industry.

UNIT 2 Project Identification, Formulation and Appraisal

✍️ 2-mark definitions

- **Project:** a one-time set of activities with a defined objective, budget and time, to create a new asset or capacity.
- **Project identification:** finding and screening project ideas that match market needs, resources and the entrepreneur's ability.
- **Feasibility study:** a study of whether a project is viable technically, commercially, financially, economically and legally.
- **Project report (detailed project report, DPR):** a written document describing the project (product, market, technology, location, costs, finance, profitability) used to get approvals and loans.
- **Demand analysis:** estimating the present and future demand for the product to fix plant capacity and sales.
- **Time value of money:** a rupee today is worth more than a rupee later because it can earn interest.
- **Discounted cash flow (DCF):** valuing future cash flows by discounting them to present value at a required rate.
- **Net present value (NPV):** present value of cash inflows minus present value of outflows; accept if NPV > 0.
- **Internal rate of return (IRR):** the discount rate at which NPV = 0; accept if IRR > cost of capital.
- **Benefit-cost ratio (BCR) / profitability index:** PV of benefits / PV of costs; accept if > 1.

💡 Core concepts

Sources of project ideas: market gaps, import substitution, export opportunities, government priorities, new technology, local resources, customer complaints, trade fairs, research institutions, successful projects elsewhere.

Project life cycle: identification → formulation → appraisal → implementation → operation → evaluation.

Project viability (feasibility) aspects

Aspect	Questions answered
Market/commercial	Is there demand? price? competition? channels?
Technical	Process, capacity, machinery, location, raw materials, utilities
Financial	Cost of project, means of finance, profitability, cash flow, break-even
Economic	Benefits to society, employment, foreign exchange
Managerial	Competence of promoters and team
Legal and environmental	Licences, pollution norms, land use

Project formulation stages: feasibility analysis → techno-economic analysis → project design and network analysis → input analysis (materials, manpower) → financial analysis → social cost-benefit analysis → pre-investment appraisal and the DPR.

Contents of a project report: promoters' profile; product description; market analysis; technical details (process, capacity, machinery, layout); location; raw materials and utilities; manpower; cost of project; means of finance; profitability projections; cash flow; break-even; NPV/IRR; implementation schedule; SWOT; annexures.

Project financing

- **Cost of project:** land, building, plant and machinery, technical know-how, preliminary and pre-operative expenses, contingencies, margin money for working capital.
- **Means of finance:** promoter's capital (equity, typically 25–35% margin), term loans (banks, SIDBI, SFCs), subsidies (PMEGP), unsecured loans from friends, venture capital and angel investors, crowdfunding, lease and hire purchase; working capital from banks (cash credit, overdraft).
- **Debt-equity ratio** used by banks (often 2:1 or lower).

Demand analysis methods: survey of buyers' intentions, expert opinion (Delphi), trend projection (moving average, least squares), market share method, end-use method, regression on income and price.

Appraisal techniques

Method	Formula / rule	Pros	Cons
Payback period	Years to recover investment	Simple, liquidity	Ignores time value and later cash flows
Accounting rate of return	Average profit / average investment	Uses accounting data	Ignores time value
NPV	$\Sigma\ CF_t/(1+k)^t - C_o$	Time value, adds to wealth	Needs k
IRR	Rate where NPV = 0	Easy to compare with k	Multiple IRRs possible
BCR / PI	PV inflows / PV outflows	Ranks under capital rationing	Can conflict with NPV
Discounted payback	Payback using discounted flows	Time value	Ignores later flows

🧮 Solved examples

Example 1: NPV, BCR and payback. Investment ₹10,00,000; annual cash inflow ₹3,00,000 for 5 years; cost of capital 10%.

- PV annuity factor (10%, 5 years) = 3.7908.
- PV of inflows = 3,00,000 × 3.7908 = ₹11,37,236.
- **NPV = ₹1,37,236** > 0 → accept.
- **BCR = 11,37,236 / 10,00,000 = 1.14**.
- **Payback = 10/3 = 3.33 years.**

Example 2: IRR of the same project. Required annuity factor = 10,00,000 / 3,00,000 = 3.3333.

- At 15%: factor 3.3522; at 16%: 3.2743.
- IRR = 15 + (3.3522 − 3.3333)/(3.3522 − 3.2743) × 1 = 15 + 0.24 = **15.24%** > 10% → accept.

Example 3: Demand by trend (least squares). Sales (thousand units) for years 1–5: 10, 12, 13, 15, 16. With x = −2…2: a = Σy/5 = 66/5 = 13.2; b = Σxy/Σx² = (−20 − 12 + 0 + 15 + 32)/10 = 15/10 = 1.5. y = 13.2 + 1.5x. Year 7 (x = 4): **19.2 thousand units**.

Key points to remember

- Feasibility: market, technical, financial, economic, managerial, legal.
- NPV > 0, IRR > k, BCR > 1 → accept.
- IRR by interpolation between two rates.
- Project cost includes margin money for working capital.

⭐ Important questions

1. How are projects identified? Explain project viability/feasibility analysis.
2. Explain project formulation stages and the contents of a project report.
3. Explain the sources of project finance.
4. Explain demand analysis methods.
5. Explain DCF techniques: NPV, IRR and benefit-cost ratio, with a numerical.

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UNIT 3 Accountancy and Management of a Small Enterprise

✍️ 2-mark definitions

- **Accountancy:** recording, classifying, summarizing and interpreting financial transactions of a business.
- **Balance sheet:** a statement of assets, liabilities and owner's capital on a given date; Assets = Liabilities + Capital.
- **Profit and loss account:** a statement of revenues and expenses over a period, giving net profit or loss.
- **Costing:** finding the cost of a product or service by collecting and classifying material, labour and overhead costs.
- **Fixed cost:** cost that does not change with output in the short run (rent, salaries, depreciation).
- **Variable cost:** cost that changes in proportion to output (materials, direct labour, power).
- **Break-even point (BEP):** the output at which total revenue equals total cost (no profit, no loss).
- **Inventory control:** keeping the right quantity of materials at the lowest total cost (ordering + carrying).
- **Economic order quantity (EOQ):** the order size that minimizes total ordering and carrying cost, EOQ = √(2DS/H).
- **Quality control:** activities to ensure products meet specifications (inspection, statistical process control).

💡 Core concepts

Accounting basics: double entry (every debit has a credit); books: journal, ledger, cash book; trial balance; final accounts (trading account, P&L, balance sheet); accounting principles (going concern, consistency, accrual, conservatism).

Balance sheet format

Liabilities and capital	Assets
Owner's capital (+ profit − drawings)	Fixed assets: land, building, machinery (less depreciation)
Long-term loans	Investments
Current liabilities: creditors, bills payable, outstanding expenses, bank overdraft	Current assets: stock, debtors, cash, bank, prepaid expenses

Assessment of economic viability: profitability (net profit margin, return on investment), liquidity (current ratio ≥ 2:1 ideal for small firms, quick ratio ≥ 1:1), solvency (debt-equity), break-even and margin of safety, debt service coverage ratio (DSCR ≥ 1.5 preferred by banks).

Elements of cost: direct material + direct labour + direct expenses = **prime cost**; + factory overheads = **factory/works cost**; + office and administration overheads = **cost of production**; + selling and

distribution overheads = **total cost**; + profit = **selling price**.

Break-even analysis: BEP (units) = Fixed cost / (Price − Variable cost per unit); contribution = sales − variable cost; P/V ratio = contribution / sales; BEP (₹) = FC / P/V ratio; margin of safety = actual sales − BEP sales.

Production control: routing, scheduling, dispatching, follow-up (expediting), inspection; production planning to match capacity to demand.

Quality control in small firms: inspection at incoming, in-process and final stages; control charts; ISO 9001 certification; ZED (Zero Defect Zero Effect) scheme; BIS marks.

Marketing for small enterprises: 4 Ps (product, price, place, promotion); market research; channels (direct, dealers, e-commerce, GeM government portal); branding; problems: limited budget, competition; solutions: cooperatives, NSIC marketing support, exhibitions, digital marketing.

Inventory management: EOQ; reorder level = lead time × daily usage + safety stock; ABC analysis (A: ~10% items, ~70% value — tight control; B: 20%/20%; C: 70%/10%); VED analysis (vital, essential, desirable); FSN (fast, slow, non-moving); JIT.

Preparation of financial reports: monthly cash flow, P&L, balance sheet, fund flow, ratio analysis, budget vs actual variance reports for owners, banks and tax authorities.

🧮 Solved examples

Example 1: Break-even. Fixed cost ₹6,00,000; price ₹500; variable cost ₹300 per unit.

- Contribution per unit = ₹200; P/V ratio = 200/500 = **40%**.
- **BEP = 6,00,000/200 = 3,000 units = ₹15,00,000**.
- At 4,000 units: profit = 4,000 × 200 − 6,00,000 = **₹2,00,000**; margin of safety = 1,000 units (**25%**).
- Units for a target profit of ₹3,00,000 = (6,00,000 + 3,00,000)/200 = **4,500 units**.

Example 2: Cost sheet. Direct material ₹40,000, direct labour ₹25,000, direct expenses ₹5,000 → prime cost ₹70,000. Factory overheads ₹15,000 → works cost ₹85,000. Office overheads ₹10,000 → cost of production ₹95,000. Selling overheads ₹5,000 → total cost ₹1,00,000. Profit 20% on cost → **selling price ₹1,20,000**.

Example 3: EOQ and reorder level. Annual demand D = 12,000 units, ordering cost S = ₹200 per order, carrying cost H = ₹12 per unit per year.

- **EOQ = √(2 × 12,000 × 200 / 12) = √4,00,000 ≈ 632 units**.
- Orders per year ≈ 12,000/632 ≈ 19.
- Daily usage = 12,000/300 working days = 40; lead time 5 days; safety stock 100 → **reorder level = 300 units**.

Example 4: Ratios. Current assets ₹4,00,000 (stock ₹1,50,000), current liabilities ₹2,00,000. Current ratio = **2:1**; quick ratio = (4,00,000 − 1,50,000)/2,00,000 = **1.25:1**. Both healthy.

Key points to remember

- Assets = Liabilities + Capital.
- Cost sheet: prime → works → production → total → selling price.

- BEP = FC/(P − V); P/V = contribution/sales; MOS = sales − BEP.
- EOQ = √(2DS/H); ROL = lead time × usage + safety stock; ABC 70-20-10 by value.
- Current ratio 2:1, quick ratio 1:1, DSCR ≥ 1.5.

⭐ Important questions

1. Explain the balance sheet and P&L account of a small enterprise with a format.
2. How is the economic viability of a small enterprise assessed? Explain ratio analysis.
3. Explain costing and break-even analysis with a numerical.
4. Explain production control and quality control in small enterprises.
5. Explain marketing and inventory management (EOQ, ABC) for a small unit.

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UNIT 4 Project Planning and Control

✍️ 2-mark definitions

- **Project planning:** deciding in advance what to do, how, when, by whom and at what cost to complete a project.
- **Project control:** comparing actual progress, cost and quality with the plan and taking corrective action.
- **Cost of capital:** the minimum rate of return a firm must earn on investments to satisfy its investors (lenders and owners).
- **Weighted average cost of capital (WACC):** the average of the costs of each source of finance weighted by its share in total capital.
- **Capital expenditure (capex):** spending on long-term assets (machinery, buildings) whose benefits last more than a year.
- **Capital budgeting:** the process of evaluating and selecting long-term investments.
- **Risk analysis:** studying the uncertainty in project outcomes (sales, costs, cash flows) and its effect on viability.
- **Sensitivity analysis:** checking how NPV/IRR changes when one variable (price, cost, volume) changes.
- **Cash flow statement:** a statement of cash received and paid during a period under operating, investing and financing activities.
- **Profit planning:** setting profit targets and planning sales, costs and prices to achieve them (budgets, cost-volume-profit analysis).

💡 Core concepts

Cost of capital

- **Cost of debt (after tax):** k_d = I(1 − t) / net proceeds (interest is tax-deductible).
- **Cost of preference shares:** k_p = dividend / net proceeds.
- **Cost of equity:** dividend growth model k_e = D_1/P_o + g; or CAPM k_e = R_f + β(R_m − R_f).
- **Cost of retained earnings:** ≈ k_e (opportunity cost).
- **WACC = Σ w_i k_i**; used as the discount rate for NPV.

Economic evaluation of a project: commercial profitability (NPV, IRR) plus social cost-benefit analysis (UNIDO and Little–Mirrlees approaches): shadow prices, employment, foreign exchange, environmental effects.

Risk analysis techniques

Technique	Idea
Sensitivity analysis	Change one variable at a time; find critical variables
Scenario analysis	Best, most likely, worst cases

Technique	Idea
Break-even analysis	Margin before loss
Risk-adjusted discount rate	Add a premium to k for riskier projects
Certainty equivalent	Convert risky cash flows to certain ones
Probability / expected NPV	Weight outcomes by probabilities; standard deviation
Decision tree	Sequential decisions with chance events
Simulation (Monte Carlo)	Random sampling of many variables

Capital expenditure decisions: types: expansion, replacement, modernization, diversification, R&D, mandatory (pollution control). Process: idea generation → evaluation (NPV/IRR) → selection → financing → implementation → post-completion audit.

Project planning tools: work breakdown structure, Gantt (bar) charts, CPM and PERT networks, resource scheduling, budgets; control through milestones, progress reports, earned value, variance analysis.

Profit planning: budgets (sales, production, materials, labour, overhead, cash); cost-volume-profit analysis; target costing; controlling costs.

Cash flow planning: cash budget (opening balance + receipts − payments = closing balance) month by month to foresee shortages (arrange overdraft) or surpluses (invest); working capital cycle = inventory days + receivable days − payable days.

🧮 Solved examples

Example 1: WACC. Equity ₹6,00,000 at 14%; debt ₹4,00,000 at 10% interest; tax 25%.

- After-tax cost of debt = 10 × (1 − 0.25) = 7.5%.
- **WACC = 0.6 × 14 + 0.4 × 7.5 = 8.4 + 3.0 = 11.4%**.

Example 2: Cost of equity. Share price ₹100, next dividend ₹8, growth 5%. k_e = 8/100 + 0.05 = **13%**. By CAPM with R_f = 7%, β = 1.2, R_m = 12%: k_e = 7 + 1.2 × 5 = **13%**.

Example 3: Expected NPV. NPV outcomes: ₹3 lakh (p = 0.3), ₹1 lakh (p = 0.5), −₹2 lakh (p = 0.2). Expected NPV = 0.9 + 0.5 − 0.4 = **₹1.0 lakh**. Variance = $0.3(2)^2 + 0.5(0)^2 + 0.2(-3)^2 = 1.2 + 0 + 1.8 = 3.0$; σ ≈ **₹1.73 lakh**.

Example 4: Sensitivity. In Example 1 of Unit 2 (NPV ₹1,37,236), find the fall in annual cash flow that makes NPV zero: 10,00,000/3.7908 = ₹2,63,797. Cash flow can fall by (3,00,000 − 2,63,797)/3,00,000 ≈ **12%** before the project becomes unviable.

Example 5: Cash budget. Opening cash ₹50,000; receipts ₹2,00,000; payments ₹2,70,000. Closing = 50,000 + 2,00,000 − 2,70,000 = **−₹20,000** → arrange an overdraft of at least ₹20,000 (plus a minimum balance).

Key points to remember

- k_d after tax = I(1 − t); k_e = D_1/P_o + g or CAPM; WACC = Σwk.

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- Risk tools: sensitivity, scenario, risk-adjusted rate, certainty equivalent, decision tree, simulation.
- Capex types and process; post-completion audit.
- Cash budget shows shortages early.

⭐ Important questions

1. What is cost of capital? Explain how to compute the cost of debt, equity and WACC.
2. Explain economic evaluation and social cost-benefit analysis of projects.
3. Explain risk analysis techniques in project appraisal.
4. Explain capital expenditure decisions and the capital budgeting process.
5. Explain profit planning and cash flow planning with a cash budget.

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UNIT 5 Laws and Support Institutions for Entrepreneurs

✍️ 2-mark definitions

- **Sole proprietorship:** a business owned and run by one person with unlimited liability.
- **Partnership (Indian Partnership Act, 1932):** the relation between persons who have agreed to share profits of a business carried on by all or any of them acting for all; liability is unlimited and joint.
- **Partnership deed:** the written agreement between partners covering capital, profit sharing, duties, interest, admission and dissolution.
- **LLP (Limited Liability Partnership Act, 2008):** a body corporate with partners whose liability is limited to their agreed contribution.
- **Private limited company (Companies Act, 2013):** a company with 2–200 members, limited liability and separate legal existence; One Person Company (OPC) allows a single member.
- **GST (Goods and Services Tax, 2017):** a destination-based indirect tax on supply of goods and services that replaced sales tax/VAT, excise and service tax; CGST + SGST within a state, IGST between states.
- **Income tax:** a direct tax on the income of individuals, firms and companies under the Income-tax Act (the 1961 Act is replaced by the Income-tax Act, 2025, from 1 April 2026).
- **Workmen's (Employee's) compensation:** compensation by an employer to a worker (or dependants) for injury, disease or death arising out of and in the course of employment; the 1923 Act, renamed Employee's Compensation Act in 2009, is now part of the Code on Social Security, 2020.
- **District Industries Centre (DIC):** a district-level agency giving single-window support (registration, guidance, schemes) to small industries.
- **SIDBI (Small Industries Development Bank of India, 1990):** the principal financial institution for promoting, financing and developing MSMEs.

💡 Core concepts

Forms of business ownership

Feature	Sole proprietorship	Partnership	LLP	Private limited company
Law	None specific	Partnership Act 1932	LLP Act 2008	Companies Act 2013
Members	1	2 to 50 (Companies Rules)	Minimum 2, no maximum	2 to 200 (OPC: 1)
Liability	Unlimited	Unlimited, joint and several	Limited	Limited
Separate legal entity	No	No	Yes	Yes

Feature	Sole proprietorship	Partnership	LLP	Private limited company
Continuity	Ends with owner	Affected by partner changes	Perpetual	Perpetual
Compliance	Least	Low	Moderate	Highest
Raising capital	Hard	Limited	Moderate	Easier (equity, VC)

Partnership law essentials: agreement, sharing of profits, business, mutual agency (each partner is agent of the firm). Registration is optional but an unregistered firm cannot sue third parties to enforce contracts. Rights (share in management, profits, inspection of books, indemnity) and duties (good faith, accounts, no competing business). Dissolution by agreement, notice, court order, insolvency.

Sales tax to GST: earlier, state sales tax/VAT on goods; now GST registration is compulsory above ₹40 lakh turnover for goods (₹20 lakh for services; lower in special category states); composition scheme for small taxpayers (turnover up to ₹1.5 crore) at a low flat rate; input tax credit avoids cascading tax; returns (GSTR-1, GSTR-3B); e-invoicing and e-way bills.

Income tax for entrepreneurs: heads of income (business/profession); tax on proprietors at individual slab rates, on firms/LLPs at 30% flat, on companies at concessional rates (22% for domestic companies opting for the concessional regime); presumptive taxation for small businesses (deemed profit at 8%, or 6% for digital receipts, of turnover up to ₹2 crore, ₹3 crore if cash receipts are within 5%); TDS; advance tax; startup tax holiday for eligible DPIIT startups.

Workmen's compensation: employer liable if the injury arises out of and in the course of employment; not liable if caused by drunkenness or wilful disobedience of safety rules (except for death or permanent total disablement); compensation depends on wages, age factor and the degree of disablement; ESIC covers employees in covered units.

Other relevant laws: Factories Act 1948 and labour codes (Wages 2019, Industrial Relations 2020, Social Security 2020, Occupational Safety, Health and Working Conditions 2020); Shops and Establishments Acts; Environment Protection Act 1986 and pollution consents; Contract Act 1872; Sale of Goods Act 1930; Negotiable Instruments Act 1881 (cheque bounce); intellectual property (Patents Act 1970, Trade Marks Act 1999, Copyright Act 1957, Designs Act 2000); MSMED Act 2006 (payment within 45 days; Samadhaan portal for delayed payments).

Support agencies for small industries

Agency	Role
Ministry of MSME / Office of Development Commissioner (MSME), formerly SIDO	Policy, schemes, technology centres, MSME-DFOs (formerly SISIs) giving consultancy and training
District Industries Centre (DIC)	District-level single window, registration help, subsidies, PMEGP
NSIC (National Small Industries Corporation)	Raw material assistance, marketing support, machinery on hire purchase, single-point registration for government purchase
SIDBI	Refinance, direct loans, venture capital, MUDRA refinance, CGTMSE with Ministry of MSME

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Agency	Role
NABARD	Rural and agro industries, refinance
State Financial Corporations (SFCs), State Industrial Development Corporations (e.g. UPSIDC/UPSIDA)	Term loans, industrial areas and sheds
Commercial banks	Working capital and term loans, priority sector lending
KVIC	Khadi and village industries, PMEGP nodal agency
EDII, NIESBUD, NI-MSME	Entrepreneurship training and research
Technology business incubators, Atal Innovation Mission, Startup India hub	Incubation, mentoring, seed funding
Export Promotion Councils, DGFT	Export support
Bureau of Indian Standards (BIS)	Quality standards and certification

🧮 Solved examples

Example 1: Choose a form of business. Three B.Tech friends start an app development firm and want limited liability and low compliance, with no outside investors yet → **LLP**. When they plan to raise venture capital → convert to a **private limited company** (investors take equity shares).

Example 2: GST computation. A UP manufacturer sells goods worth ₹1,00,000 at 18% GST within UP: CGST 9% = ₹9,000, SGST 9% = ₹9,000, invoice ₹1,18,000. If sold to Delhi: IGST 18% = ₹18,000. If input GST paid on raw materials was ₹10,000, net GST payable = 18,000 − 10,000 = **₹8,000**.

Example 3: Presumptive income. A small trader with turnover ₹1.5 crore, all received digitally, may declare 6% as income: **₹9 lakh**, without maintaining detailed books.

Key points to remember

- Partnership Act 1932, LLP Act 2008, Companies Act 2013; liability unlimited vs limited.
- GST 2017 replaced sales tax/VAT; CGST + SGST intrastate, IGST interstate; input tax credit.
- Workmen's compensation: injury arising out of and in the course of employment; now under Code on Social Security 2020.
- Agencies: Ministry of MSME, DIC, NSIC, SIDBI, NABARD, SFCs, KVIC, EDII, NIESBUD, banks.

⭐ Important questions

1. Compare sole proprietorship, partnership, LLP and private limited company. Explain the Indian Partnership Act.
2. Explain the role of GST (formerly sales tax) and income tax for small entrepreneurs.
3. Explain the workmen's compensation law and other labour laws relevant to small units.
4. Explain the institutional support available to small scale industries in India.
5. Write notes on SIDBI, NSIC and DIC.

Last-hour checklist

- ☐ Entrepreneur: definition, qualities, functions, types; entrepreneur vs manager.
- ☐ MSME 2025 limits; role and problems of SSIs; ancillaries; policy and schemes (PMEGP, MUDRA, CGTMSE, Startup India); 10 steps to start.
- ☐ Project identification, feasibility aspects, formulation stages, DPR contents, means of finance, demand analysis (19.2 thousand).
- ☐ NPV ₹1,37,236; BCR 1.14; payback 3.33 years; IRR 15.24%.
- ☐ Balance sheet; ratios (2:1, 1.25:1); cost sheet (₹1,20,000); BEP 3,000 units, P/V 40%, MOS 25%; EOQ 632, ROL 300; ABC.
- ☐ WACC 11.4%; k_e 13%; expected NPV ₹1 lakh, σ ₹1.73 lakh; sensitivity 12%; cash budget.
- ☐ Ownership forms table; Partnership Act essentials; GST example (₹8,000 net); income tax; workmen's compensation.
- ☐ Support agencies table.

Books prescribed by AKTU

These are the books named in the official AKTU syllabus. Buy or borrow them through a bookshop or your college library. The WorldCat links show which libraries hold a copy.

#	Title	Author(s)	Publisher	Where to get it legally
1	Entrepreneurship	John Forbat	New Age International	WorldCat
2	Management and Entrepreneurship	Veerbhadrappa Havinal	New Age International	WorldCat
3	Essentials of Management	Joseph L. Massie	Prentice Hall of India	WorldCat

Syllabus source: AKTU Open Elective-III and IV syllabus for B.Tech 8th semester, 2025-26 (copy hosted by an affiliated college, PDF)